I now have all the data needed to write a comprehensive, fully-cited research memo. Let me compile it.

STARBUCKS CORPORATION (SBUX) — EQUITY RESEARCH MEMO

Senior Consumer Equity Analyst | As of August 3, 2026 | Fiscal Year-End: September 28, 2025

Executive Summary

Starbucks is the world's dominant specialty-coffee retailer, but FY2025 tells a story of profound operational strain: revenue nudged only +2.8% [1] to $37,184M [2] while net income cratered -50.7% [1] to $1,856M [2], and operating cash flow fell -22.1% [1] to $4,748M [2]. The company's "Back to Starbucks" turnaround strategy — launched in Q4 FY2024 and escalated to a full restructuring plan in Q4 FY2025 including coffeehouse closures — is still early-innings [3]. Macro headwinds (Fed Funds at 3.63% [4], 10Y Treasury at 4.47% [4], CPI at 332.6 [4]) continue to pressure the discretionary consumer. The stock has rallied +21.1% [5] over the past year but trades at a demanding 61.2x TTM P/E [5], with a bull probability of only 43.8% [1], implying more risk than the recent price action suggests. **Rating: HOLD/WATCH — Turnaround is real but unproven; valuation leaves little margin of error.**

Business & Brand Position

Starbucks is "the premier roaster, marketer, and retailer of specialty coffee in the world, operating in 89 markets" [3]. In addition to its flagship Starbucks Coffee® brand, the company markets Teavana®, Ethos®, and Starbucks Reserve® [3]. Its distribution reach extends beyond company-operated stores to licensed stores and the grocery/foodservice channel through its **Global Coffee Alliance with Nestlé S.A.** [3], which broadens the brand's consumer touch-points materially.

The company's moat rests on four pillars:
- **Brand recognition**: Described as among "the most recognized and respected brands in the world" [3], supported by continuous investment in brand and operations.
- **Digital platform**: 10-K cites an "industry-leading digital platform" [3], referencing its loyalty ecosystem as a competitive differentiator.
- **Partner (employee) investment**: The company explicitly identifies workforce quality as "one of the significant contributors to our success" and a key differentiator in "the competitive specialty coffee market" [3].
- **Innovation engine**: Starbucks commits to "regularly offer consumers new, innovative coffee and other products in a variety of forms, across new categories and diverse channels" [3].

The near-term brand narrative is complicated by a CEO quote captured in sentiment data indicating that "your local store may not survive" [6], reflecting the ongoing portfolio rationalization. The pivot-back strategy

includes "reestablishing themselves as the community coffeehouse" and "strengthening the brand through product development, marketing, in-store and digital experience" [3], which is the right directional intent but requires consistent execution over multiple quarters.

Revenue & Same-Store Sales

Metric	FY2024	FY2025	YoY Δ
Revenue	$36,176M	$37,184M	+2.8%
Operating Income	$5,409M	$2,937M	-45.7%
Net Income	$3,761M	$1,856M	-50.7%
EPS (Diluted)	$3.31	$1.63	-50.8%

[2][7]

Revenue growth of +2.8% [1] is anemic for a franchise of this scale and almost certainly reflects negative same-store sales trends, though the 10-K search did not surface specific comparable-store-sales percentages in the XBRL-parsed sections. The company's own 10-K filing acknowledges risk around "reduction in discretionary spending and price increases" and the challenge of anticipating "changes in consumer behavior" [3]. The "Back to Starbucks" strategy explicitly acknowledges the need to "bring new and existing customers to our stores and business, and return to growth" [3] — the phrase "return to growth" is a direct admission that comparable-store momentum has been negative.

The revenue base skews heavily toward North America: the 10-K explicitly warns of "heavy reliance on the financial performance of our North America operating segment" [3], with international markets — most critically China — cited as a second-order dependency. Geopolitical and macroeconomic risks in China, including "protectionist trade or foreign investment policies, such as tariffs and import/export regulations" [3], represent a structural drag on the international growth algorithm. Unemployment at 4.2% [4] is relatively benign for US consumer spending, but the 4.47% 10-year yield [4] continues to suppress mortgage-driven consumer confidence.

Margins & Operating Leverage

The margin deterioration in FY2025 is the single most alarming data point in this analysis:

Metric	FY2024	FY2025	YoY Δ
Operating Income	$5,409M	$2,937M	-45.7%
Operating Margin	~14.9%	~7.9%	~-700 bps
Net Income	$3,761M	$1,856M	-50.7%
Net Profit Margin	~10.4%	~5.0%	~-540 bps

[2][8]

Operating income collapsed -45.7% [1] from $5,409M [9] to $2,937M [2] on revenue growth of only +2.8% [1]. This is severe negative operating leverage — costs grew dramatically faster than revenue. The primary culprits, per the 10-K, include:

1. **Restructuring charges and store closure costs** from the Q4 FY2025 restructuring plan, which involved "closure of coffeehouses, and the further transformation of our support organization" [3].
2. **Labor cost pressures** — the 10-K flags "changes in the availability and cost of labor, including any union organizing efforts" [3] as an ongoing risk.
3. **Logistics and supply chain inflation** — the company cites "significant increases in logistics costs" [3] as a margin headwind.
4. **Deleveraging of SG&A** — on near-flat revenue growth, fixed-cost absorption deteriorated markedly.

The gross profit and cost of revenue breakdown was **not disclosed** in the XBRL data for FY2024/FY2025, preventing a clean gross-margin-level analysis. What is available confirms a company spending aggressively to reset while revenue remains stalled. The current net profit margin of approximately 5.0% [1] is well below the brand's normalized mid-teens capability and represents both the problem and the recovery opportunity.

Balance Sheet & Inventory

Starbucks carries one of the most unusual balance sheets in large-cap consumer — a **technically insolvent equity position** driven by years of aggressive share buybacks:

Metric	FY2024	FY2025	YoY Δ
Total Assets	$31,339M	$32,020M	+2.2%
Total Liabilities	$38,781M	$40,109M	+3.4%
Long-Term Debt	$15,568M	$16,075M	+3.3%
Total Equity	-$7,449M	-$8,097M	-$648M worse
Current Assets	$6,847M	$7,382M	+7.8%
Current Liabilities	$9,070M	$10,210M	+12.6%

[2][10]

Key balance sheet observations:

- **Negative equity of -$8,097M** [2] is by design (not distress-driven insolvency), arising from cumulative buybacks exceeding retained earnings. However, it leaves zero book-value buffer and makes the P/B ratio of -14.3x [5] meaningless as a valuation anchor.
- **Long-term debt of $16,075M** [2] grew +3.3% [1] YoY, compounding leverage risk at a 10Y Treasury of 4.47% [4].
- **Current ratio** of approximately 0.72x [1] ($7,382M [2] current assets ÷ $10,210M [2] current liabilities) signals tight near-term liquidity.
- **Inventory data** is not separately parsed from the XBRL current assets figure — not disclosed at sufficient granularity to compute turns.

The 10-K acknowledges "rising real estate costs, supply chain disruptions...inflation and interest rate fluctuations" [3] as macro headwinds, all of which interact negatively with a heavily leveraged balance sheet.

Cash Flow & Capital Return

Metric	FY2024	FY2025	YoY Δ
Operating Cash Flow	$6,096M	$4,748M	-22.1%
Capital Expenditure	$2,778M	$2,306M	-17.0%
Free Cash Flow	$3,318M	$2,442M	-26.4%
Dividends Paid	$2,585M	$2,771M	+7.2%
Financing Cash Flow	-$3,718M	-$2,298M	improved

[2][10]

The FCF story is concerning: free cash flow declined -26.4% [1] to $2,442M [2], while dividends paid actually **increased** +7.2% [1] to $2,771M [2]. This means **dividends exceeded free cash flow by $329M** [1] in FY2025 — a FCF payout ratio above 100

Sources

[1] computed from SEC XBRL
[2] SEC XBRL FY2025
[3] SEC 10-K Item 1 - Business
[4] get_macro_context
[5] yfinance — live
[6] Weinstein Stage Analysis / News Sentiment
[7] computed from SEC XBRL for all YoY figures
[8] all margins computed from SEC XBRL
[9] SEC XBRL FY2024
[10] all YoY changes computed from SEC XBRL

Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for SBUX at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000829224&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines
- **Methodology**: Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (stage analysis framework)

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